



REPUBLIC OF THE PHILIPPINES
TARIFF COMMISSION

BRIEFER:
SECTION 1608
OF REPUBLIC
ACT NO. 10863



BRIEFER: SECTION 1608

"Flexible Clause" under Republic Act No. 10863 (Customs Modernization and Tariff Act)

Presidential Powers

Upon recommendation of the DEPDev, the President may:

Modify Duties

Increase, reduce, or remove existing import duties (maximum of 100% ad valorem)

Establish Import Controls

Establish import quotas or ban imports of any commodity as necessary

Impose Additional Duty

Impose an additional duty on all imports, not exceeding 10% ad valorem

Procedures on Filing a Petition

1 Submit Requirements

Submit a petition letter and an accomplished TC Form 3 (Request for Tariff Modification)

2 Investigation & Hearings

The TC conducts investigations which includes the conduct of public hearings to allow interested parties to present their views

3 Recommendation

The TC submits its Report of Findings and Recommendations to the Secretaries of the DEPDev and the DTI (Co-Chairpersons of the ED Council – TRMC)

Filing Fees

TC's schedule of fees and charges is prescribed in **Office Memorandum No. 18-010**.

Filing Fee	PHP 5,000.00 / tariff heading
Legal Research Fund	PHP 50.00 / tariff heading
Publication Cost	Share in publication cost is based on the number of products included in the petition

Timetable

TERMINATION OF THE PUBLIC HEARING

30 DAYS

Submission of Report of Findings and Recommendations to the DEPDev and the DTI

Resources

TC Website

www.tariffcommission.gov.ph

TC Citizen's Charter

Detailed checklist and step-by-step procedures available on the TC website

1. What is Section 1608 of Republic Act No. 10863?

Section 1608 (*Flexible Clause*) of Republic Act (RA) No. 10863, otherwise known as the Customs Modernization and Tariff Act, provides the legal basis by which the President, upon recommendation of the Department of Economy, Planning, and Development (DEPDev), previously the National Economic and Development Authority (NEDA), may:

- a. increase, reduce, or remove existing rates of import duty including any necessary change in classification; the existing rates may be increased or decreased to any level, in one or several stages, but in no case shall the increased rate of import duty be higher than a maximum of 100% *ad valorem*;
- b. establish import quotas or ban imports of any commodity, as may be necessary; and
- c. impose an additional duty on all imports not exceeding ten percent (10%) *ad valorem* whenever necessary.

2. Who can file and what are the filing procedures for petitions for tariff modification under Section 1608?

Any interested party may file a petition under Section 1608 of the CMTA with the Tariff Commission (TC) by submitting a petition letter and an accomplished TC Form 3 (*Request for Tariff Modification*). The said Form is available in the TC office or can be downloaded from the TC website www.tariffcommission.gov.ph.

The TC conducts investigations on the petitions it receives during which public hearings are held to afford interested parties reasonable opportunity to present their views. Upon the conclusion of its investigation, the TC submits its findings and recommendation/s to the Secretaries of the DEPDev and the Department of Trade and Industry (DTI), as Co-Chairpersons of the Economy and Development (ED) Council - Tariff and Related Matters Committee (TRMC).

3. Are there any fees to be paid by petitioners?

The TC's schedule of fees and charges is prescribed in Office Memorandum No. 18-010. Petitions found to be meritorious under Section 1608 are subject to a filing fee of Five Thousand Pesos (PHP 5,000.00) and a Legal Research Fund Fee of Fifty Pesos (PHP 50.00) per tariff heading, per petitioner.

Petitioners also share in the publication cost of TC's *Notice of Public Hearing* which is published in two (2) newspapers of general circulation. A petitioner's share of the publication cost is based on the number of products he/she is petitioning for tariff modification which is subject of the public hearing.

4. What is the timetable of a Section 1608 investigation?

The TC completes its investigation and submits its Report of Findings and Recommendations to the DEPDev and the DTI within thirty (30) days after the termination of the public hearing.

5. How does one file a petition for tariff modification under Section 1608?

The checklist of requirements and the step-by-step procedure in filing a request for tariff modification under Section 1608 of the CMTA can be found in the TC Citizen's Charter uploaded on the TC website.